



MONEY & BANKING

Title: Money & Banking Basic Learning

ELI5 VERSION | CREATED BY THUNDERSTUDY

ELI5 Concept



1. What is Money?

Imagine you want chocolate 🍫 but you only have a pencil ✎.

Earlier people did this: 👉 **“I give pencil, you give chocolate.”**

But what if the shopkeeper doesn't want a pencil? 😞 Problem!

So humans invented money — something everyone accepts.

✓ **Money = Anything everyone agrees can be used to buy things.**

💵 Cash (notes & coins)

🏦 Bank deposits

📱 Digital money

★ Functions of Money (Money's Jobs)

- 1 **Medium of Exchange:** Money helps buying & selling. You give ₹20 → get chips. No need to exchange goods anymore.
- 2 **Measure of Value (Unit of Account):** Money tells price. Pen = ₹10, Book = ₹100. Comparison is easy!
- 3 **Store of Value:** You can save money for later 💰. Chocolate melts. Money doesn't.
- 4 **Standard of Deferred Payment:** Fancy name, simple idea: 🙌 **Pay later system.** Take loan today, pay next month.



2. What is a Bank?

Think of a bank as a money manager. People **deposit money** and **take loans**. Bank connects savers and borrowers.

Example: You save ₹1000 → bank gives part of it as loan to someone starting a shop.

Main Functions of Commercial Banks:

- ✓ **Accept Deposits:** Bank keeps your money safe (Saving, Current, Fixed Deposit).
- ✓ **Give Loans:** Bank lends money and earns interest.
- ✓ **Credit Creation (VERY IMPORTANT ★):** This is magic. Bank keeps ₹100 (reserve) and lends ₹900. That ₹900 gets deposited somewhere else → loan again. Money multiplies!



3. Central Bank (RBI)

India's main bank = 👉 **Reserve Bank of India (RBI)**. Think of RBI as the boss of all banks 👑.

Functions of RBI:

- 🏦 **1. Issues Currency:** Only RBI prints notes (except ₹1).
- 🏦 **2. Banker's Bank:** Banks keep money with RBI. When they need help → RBI helps.
- 💰 **3. Government's Bank:** RBI manages government money.
- 🔥 **4. Controller of Credit:** RBI controls money flow. Too much = inflation 😱, Too little = slowdown 😞.



4. How RBI Controls Money (Monetary Policy)

Quantitative Tools (Overall Control):

📈 **Bank Rate:** RBI interest rate to banks. High rate → less money. Low rate → more money.

💰 **Repo Rate (VERY IMPORTANT):** Rate at which banks borrow from RBI. **Exam Favourite** ★

📄 **CRR (Cash Reserve Ratio):** Cash banks MUST keep with RBI.

🏦 **SLR (Statutory Liquidity Ratio):** Banks keep money in safe assets.

Qualitative Tools: RBI controls where loans go (e.g., Encourage agriculture/Reduce risky loans).



5. Money Supply & Revision

Money Supply: Total money people have (Public cash + Bank deposits).

 SUPER SHORT REVISION:

-  **Money:** Accepted medium of exchange.
-  **Bank:** Accepts deposits + gives loans.
-  **Credit Creation:** Banks create extra money.
-  **RBI:** Central bank (Boss).
-  **Repo Rate:** RBI loan rate to banks.
-  **Monetary Policy:** RBI controls money supply.

 **10-Second Memory Trick:** **Money works → Banks multiply → RBI controls**

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